I try to stay away from the tragedies where the outcome is unmeasurable, such as the Bhopal disaster at the Union Carbide plant in India. This was a terrible gas leak that resulted in thousands of deaths, and how much the families would get out of Union Carbide in damages was an open question. I invested in the Johns-Manville turnaround but sold at a modest loss after realizing there was no way to predict the extent of that company's liability, either.

There's the perfectly-good-company-inside-a-bankrupt-company kind of turnaround, such as Toys "R" Us. Once Toys "R" Us was spun out on its own, away from its less successful parent, Interstate Department Stores, the result was 57 bags.

There's the restructuring-to-maximize-shareholder-values kind of turnaround, such as Penn Central. Wall Street seems to favor restructuring these days, and any director or CEO who mentions it is warmly applauded by shareholders. Restructuring is a company's way of ridding itself of certain unprofitable subsidiaries it should never have acquired in the first place. The earlier buying of these ill-fated subsidiaries, also warmly applauded, is called diversification. I call it ***diworseification.***

I'll have more to say about diworseification later—most of it unflattering. The only positive aspect is that some companies that diworseify themselves into sorry shape are future candidates for turnarounds. Goodyear is coming back right now. It's gotten out of the oil business, sold off some sluggish subsidiaries, and rededicated itself to the thing it does best: making tires. Merck, having washed its hands of Calgon and a few other minor distractions, is once again concentrating on its ethical drugs. It has four new drugs in clinical trials and two that have passed FDA approval, and the earnings are picking up.

The Asset Plays

An asset play is any company that's sitting on something valuable that you know about, but that the Wall Street crowd has overlooked. With so many analysts and corporate raiders snooping around, it doesn't seem possible that there are any assets that Wall Street hasn't noticed, but believe me, there are. The asset play is where the local edge can be used to greatest advantage.

The asset may be as simple as a pile of cash. Sometimes it's real estate. I've already mentioned Pebble Beach as a great asset play. Here's why: At the end of 1976 the stock was selling for 14½ per share, which, with 1.7 million shares outstanding, meant that the whole company was valued at only $25 million. Less than three years later (May, 1979), Twentieth Century-Fox bought out Pebble Beach for $72 million, or 42½ per share. What's more, a day after buying the company, Twentieth Century turned around and sold Pebble Beach's gravel pit